

2025 CFA®

Exam Prep

SchweserNotes™

Alternative Investments,
Portfolio Management, and Ethical
and Professional Standards

Level I Book 4

KAPLAN  **SCHWESER**

Book 4: Alternative Investments, Portfolio Management, and Ethical and Professional Standards

SchweserNotes™ 2025

Level I CFA®



SCHWESERNOTES™ 2025 LEVEL I CFA® BOOK 4: ALTERNATIVE INVESTMENTS, PORTFOLIO MANAGEMENT, AND ETHICAL AND PROFESSIONAL STANDARDS

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Learning Outcome Statements (LOS)

76. Alternative Investment Features, Methods, and Structures

The candidate should be able to:

- a. describe features and categories of alternative investments.
- b. compare direct investment, co-investment, and fund investment methods for alternative investments.
- c. describe investment ownership and compensation structures commonly used in alternative investments.

77. Alternative Investment Performance and Returns

The candidate should be able to:

- a. describe the performance appraisal of alternative investments.
- b. calculate and interpret alternative investment returns both before and after fees.

78. Investments in Private Capital: Equity and Debt

The candidate should be able to:

- a. explain features of private equity and its investment characteristics.
- b. explain features of private debt and its investment characteristics.
- c. describe the diversification benefits that private capital can provide.

79. Real Estate and Infrastructure

The candidate should be able to:

- a. explain features and characteristics of real estate.
- b. explain the investment characteristics of real estate investments.
- c. explain features and characteristics of infrastructure.
- d. explain the investment characteristics of infrastructure investments.

80. Natural Resources

The candidate should be able to:

- a. explain features of raw land, timberland, and farmland and their investment characteristics.
- b. describe features of commodities and their investment characteristics.
- c. analyze sources of risk, return, and diversification among natural resource investments.

81. Hedge Funds

The candidate should be able to:

- a. explain investment features of hedge funds and contrast them with other asset classes.
- b. describe investment forms and vehicles used in hedge fund investments.
- c. analyze sources of risk, return, and diversification among hedge fund investments.

82. Introduction to Digital Assets

The candidate should be able to:

- a. describe financial applications of distributed ledger technology.
- b. explain investment features of digital assets and contrast them with other asset classes.
- c. describe investment forms and vehicles used in digital asset investments.
- d. analyze sources of risk, return, and diversification among digital asset investments.

83. Portfolio Risk and Return: Part I

The candidate should be able to:

- a. describe characteristics of the major asset classes that investors consider in forming portfolios.
- b. explain risk aversion and its implications for portfolio selection.
- c. explain the selection of an optimal portfolio, given an investor's utility (or risk aversion) and the capital allocation line.
- d. calculate and interpret the mean, variance, and covariance (or correlation) of asset returns based on historical data.

- e. calculate and interpret portfolio standard deviation.
- f. describe the effect on a portfolio's risk of investing in assets that are less than perfectly correlated.
- g. describe and interpret the minimum-variance and efficient frontiers of risky assets and the global minimum-variance portfolio.

84. Portfolio Risk and Return: Part II

The candidate should be able to:

- a. describe the implications of combining a risk-free asset with a portfolio of risky assets.
- b. explain the capital allocation line (CAL) and the capital market line (CML).
- c. explain systematic and nonsystematic risk, including why an investor should not expect to receive additional return for bearing nonsystematic risk.
- d. explain return generating models (including the market model) and their uses.
- e. calculate and interpret beta.
- f. explain the capital asset pricing model (CAPM), including its assumptions, and the security market line (SML).
- g. calculate and interpret the expected return of an asset using the CAPM.
- h. describe and demonstrate applications of the CAPM and the SML.
- i. calculate and interpret the sharpe ratio, treynor ratio, M^2 , and jensen's alpha.

85. Portfolio Management: An Overview

The candidate should be able to:

- a. describe the portfolio approach to investing.
- b. describe the steps in the portfolio management process.
- c. describe types of investors and distinctive characteristics and needs of each.
- d. describe defined contribution and defined benefit pension plans.
- e. describe aspects of the asset management industry.
- f. describe mutual funds and compare them with other pooled investment products.

86. Basics of Portfolio Planning and Construction

The candidate should be able to:

- a. describe the reasons for a written investment policy statement (IPS).
- b. describe the major components of an IPS.
- c. describe risk and return objectives and how they may be developed for a client.
- d. explain the difference between the willingness and the ability (capacity) to take risk in analyzing an investor's financial risk tolerance.
- e. describe the investment constraints of liquidity, time horizon, tax concerns, legal and regulatory factors, and unique circumstances and their implications for the choice of portfolio assets.
- f. explain the specification of asset classes in relation to asset allocation.
- g. describe the principles of portfolio construction and the role of asset allocation in relation to the IPS.
- h. describe how environmental, social, and governance (ESG) considerations may be integrated into portfolio planning and construction.

87. The Behavioral Biases of Individuals

The candidate should be able to:

- a. compare and contrast cognitive errors and emotional biases.
- b. discuss commonly recognized behavioral biases and their implications for financial decision making.
- c. describe how behavioral biases of investors can lead to market characteristics that may not be explained by traditional finance.

88. Introduction to Risk Management

The candidate should be able to:

- a. define risk management.
- b. describe features of a risk management framework.
- c. define risk governance and describe elements of effective risk governance.
- d. explain how risk tolerance affects risk management.
- e. describe risk budgeting and its role in risk governance.

- f. identify financial and non-financial sources of risk and describe how they may interact.
- g. describe methods for measuring and modifying risk exposures and factors to consider in choosing among the methods.

89. Ethics and Trust in the Investment Profession

The candidate should be able to:

- a. explain ethics.
- b. describe the role of a code of ethics in defining a profession.
- c. describe professions and how they establish trust.
- d. describe the need for high ethical standards in investment management.
- e. explain professionalism in investment management.
- f. identify challenges to ethical behavior.
- g. compare and contrast ethical standards with legal standards.
- h. describe a framework for ethical decision making.

90. Code of Ethics and Standards of Professional Conduct

The candidate should be able to:

- a. describe the structure of the CFA Institute Professional Conduct Program and the process for the enforcement of the Code and Standards.
- b. identify the six components of the Code of Ethics and the seven Standards of Professional Conduct.
- c. explain the ethical responsibilities required by the Code and Standards, including the sub-sections of each Standard.

91. Guidance for Standards I–VII

The candidate should be able to:

- a. demonstrate the application of the Code of Ethics and Standards of Professional Conduct to situations involving issues of professional integrity.
- b. recommend practices and procedures designed to prevent violations of the Code of Ethics and Standards of Professional Conduct.
- c. identify conduct that conforms to the Code and Standards and conduct that violates the Code and Standards.

92. Introduction to the Global Investment Performance Standards (GIPS)

The candidate should be able to:

- a. explain why the GIPS standards were created, who can claim compliance, and who benefits from compliance.
- b. describe the key concepts of the GIPS Standards for Firms.
- c. explain the purpose of composites in performance reporting.
- d. describe the fundamentals of compliance, including the recommendations of the GIPS standards with respect to the definition of the firm and the firm's definition of discretion.
- e. describe the concept of independent verification.

93. Ethics Application

The candidate should be able to:

- a. evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct.
- b. explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct.